

Problem Statement:

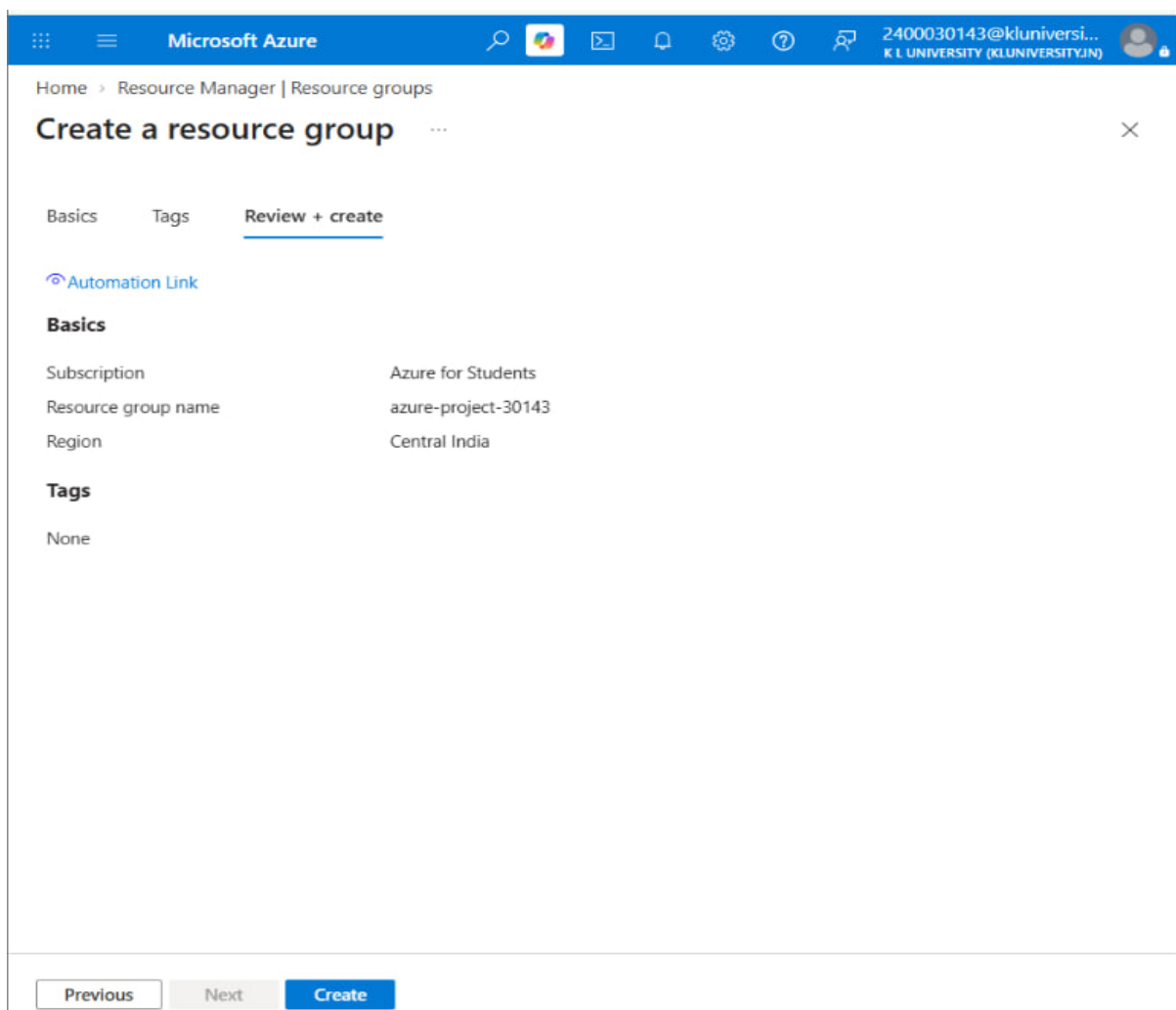
Azure Policy Governance for Resource Tagging and Regions

Team:

- 2400030143-Jitendra.D
- 2400030209-Sudhendra Sivanadh.Y
- 2400030219-Chanakya.P
- 2400032086-Harshitha.V

a.AZURE REGION GOVERNANCE:

1.Resource Group Creation:



The screenshot displays the Microsoft Azure portal interface for creating a new resource group. The top navigation bar shows the 'Microsoft Azure' logo and the user's profile. The breadcrumb trail indicates the path: Home > Resource Manager | Resource groups. The main heading is 'Create a resource group'. Below this, there are three tabs: 'Basics', 'Tags', and 'Review + create', with 'Review + create' being the active tab. An 'Automation Link' is visible. The 'Basics' section shows the following details: Subscription is 'Azure for Students', Resource group name is 'azure-project-30143', and Region is 'Central India'. The 'Tags' section shows 'None'. At the bottom, there are three buttons: 'Previous', 'Next', and 'Create'.

Basics	
Subscription	Azure for Students
Resource group name	azure-project-30143
Region	Central India

Tags	
None	

Previous Next Create

2. Policy Creation- Region governance:

Microsoft Azure

Search resources, services, and docs (G+ /)

2400030143@kluniversi...
K L UNIVERSITY (KLUNIVERSITYJN)

Home > Policy | Assignments

Assign policy

BasicsParametersRemediationManaged identityNon-compliance messagesReview + create

Exclusions

Optionally select resources to exclude from the policy assignment.

Resource selectors [\(Expand\)](#)

Using resource selectors, you can further refine this assignment's applicability by targeting specific subsets of resources. Expand to learn more.

Basics

Policy definition *

Allowed locations

Version *

1.*.*

Overrides [\(Expand\)](#)

Using overrides, you can change the effects or referenced versions of definitions for all or a subset of resources evaluated by this assignment. Expand to learn more.

Assignment name * ⓘ

Region Governance - Allowed Locations

Description

Allows resources only in approved Azure regions.

Policy enforcement ⓘ

☒ Default

☐ Do not enforce

☐ Enroll

Previous

Next

Review + create

[Give feedback](#)

Microsoft Azure

Search resources, services, and docs (G+)

2400030143@kluniversity...
K L UNIVERSITY (KLUNIVERSITY.IN)

Home > Policy | Assignments

Assign policy

BasicsParametersRemediationManaged identityNon-compliance messagesReview + create

Basics

Scope

Azure for Students/azure-project-30143

Exclusions

--

Policy definition

Allowed locations

Assignment name

Region Governance - Allowed Locations

Version

1.*.*

Description

Allows resources only in approved Azure regions.

Policy enforcement

Default

Assigned by

DODDAKA JITENDRA DODDAKA JITENDRA

Advanced

Resource selectors

No selectors associated with this assignment.

Overrides

No overrides associated with this assignment.

Parameters

Allowed locations

["centralindia","eastus"]

Remediation

Create a remediation task

No

PreviousNextCreate

Give feedback

3.Testing:

3.1: Allowed region deployed: create a storage account

Microsoft Azure

Home > Storage center | Blob Storage

Create a storage account

Basics | Advanced | Networking | Data protection | Security | Encryption | Tags

Azure Storage is a Microsoft-managed service providing cloud storage that is highly available, secure, durable, scalable, and redundant. Azure Storage includes Azure Blobs (objects), Azure Data Lake Storage Gen2, Azure Files, Azure Queues, and Azure Tables. The cost of your storage account depends on the usage and the options you choose below. [Learn more about Azure storage accounts](#)

Project details
Select the subscription in which to create the new storage account. Choose a new or existing resource group to organize and manage your storage account together with other resources.

Subscription *

Resource group * [Create new](#)

Instance details

Storage account name *

Region * [Deploy to an Azure Extended Zone](#)

Primary service *

Performance * ☒ Standard: Recommended for most scenarios (general-purpose v2 account)

[Previous](#) [Next](#) [Review + create](#) [Give feedback](#)

3.2: Deny resource created outside the allowed region:

Microsoft Azure

Home

Create a storage account

Project details

Select the subscription in which to create the new storage account. Choose a new or existing resource group to organize and manage your storage account together with other resources.

Subscription *

Resource group * [Create new](#)

Instance details

Storage account name *

Region * [Deploy to an Azure Extended Zone](#)

Primary service *

Performance * ☒ Standard: Recommended for most scenarios (general-purpose v2 account)

☐ Premium: Recommended for scenarios that require low latency.

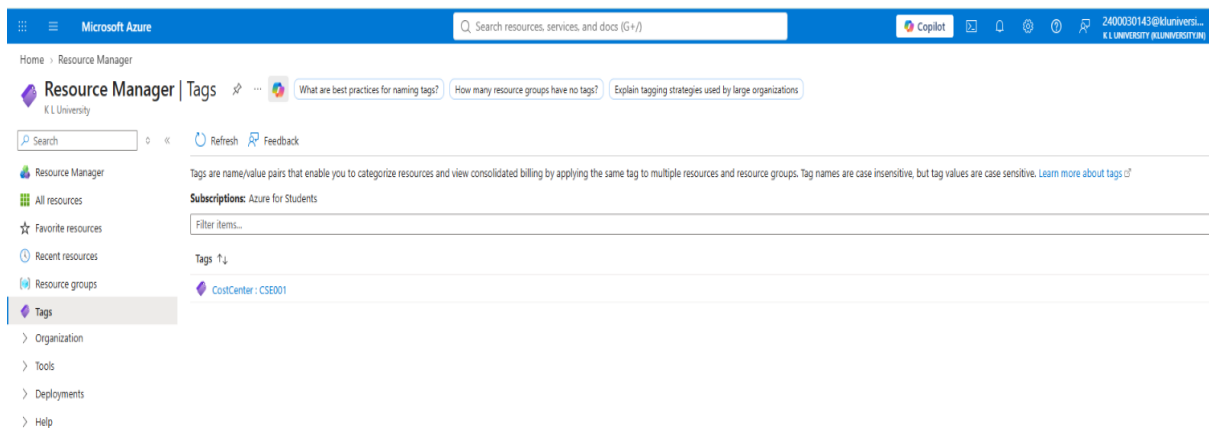
Redundancy *

[Previous](#) [Next](#) [Review + create](#) [Give feedback](#)

Error Message: Resource deployment is not allowed in this Azure region. Please select an approved region such as Central India or East US. (Policy details)

b. CostCenter Tagging for Resources:

1. Attach a tag to the existing Resource Group:



2.Create a new policy for CostCenter:[Policy definition *]

Home

Assign policy ...

Basics Parameters Remediation Managed identity Non-compliance messages Review + create

Scope

Scope * Azure for Students/azure-project-30143 [Learn more about setting the scope](#)

Exclusions

Optionally select resources to exclude from the policy assignment.

Resource selectors (Expand)

Using resource selectors, you can further refine this assignment's applicability by targeting specific subsets of resources. Expand to learn more.

Basics

Policy definition * Inherit a tag from the resource group if missing

Version * 1.*.*

Overrides (Expand)

Using overrides, you can change the effects or referenced versions of definitions for all or a subset of resources evaluated by this assignment. Expand to learn more.

Assignment name * ⓘ CostCenter Governance - Inherit Tag

Description

Automatically inherits the CostCenter tag from the resource group when the resource is missing the tag.

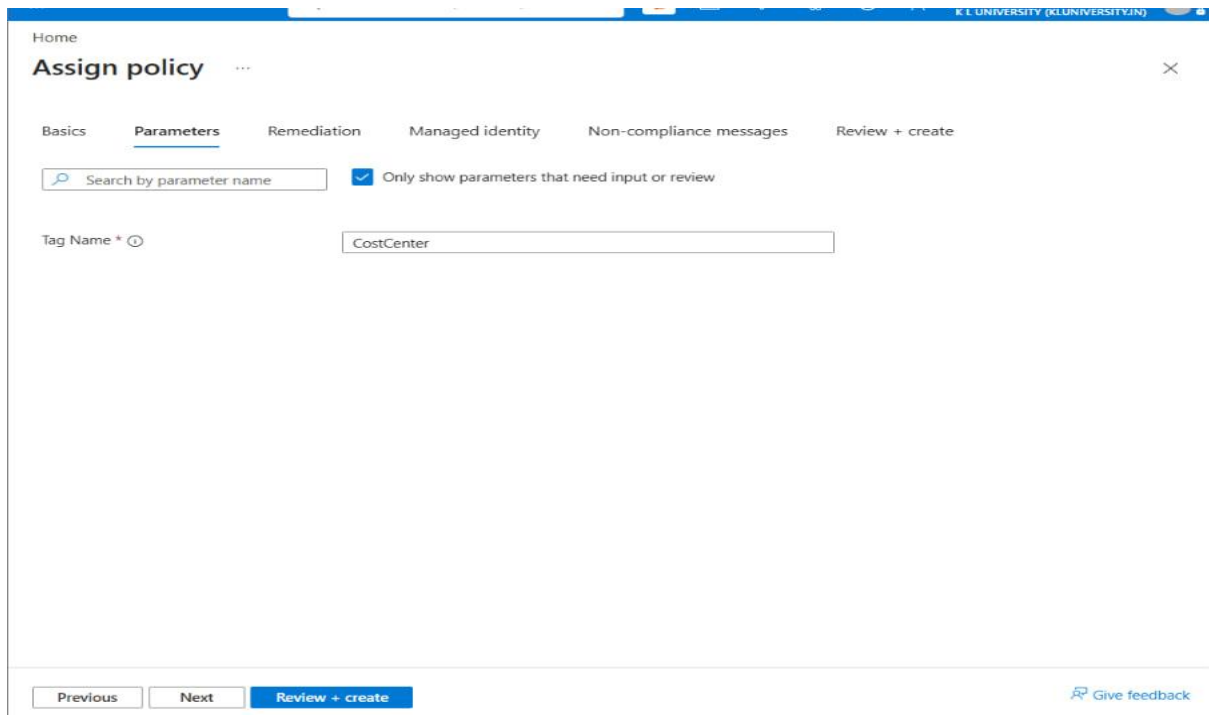
Policy enforcement ⓘ ☒ Default

Previous Next Review + create

[Give feedback](#)

2.1: Parameters:

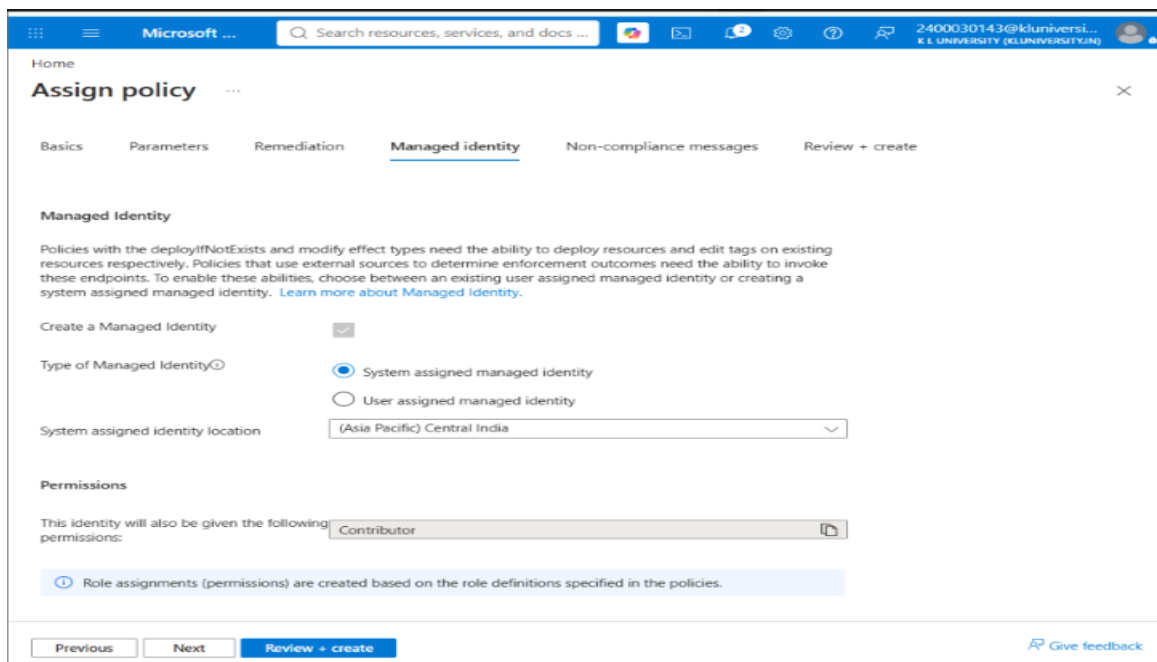
If a resource is missing the CostCenter tag, inherit the CostCenter tag from the Resource Group.



The screenshot shows the 'Assign policy' page in the Azure portal. The 'Parameters' tab is selected. A search bar is present with the text 'Search by parameter name'. A checkbox labeled 'Only show parameters that need input or review' is checked. The 'Tag Name' field is set to 'CostCenter'. At the bottom, there are buttons for 'Previous', 'Next', and 'Review + create', along with a 'Give feedback' link.

2.2: Managed identities:

An Azure-provided identity that lets resources securely access other Azure services without storing passwords or secrets.



The screenshot shows the 'Assign policy' page in the Azure portal, with the 'Managed identity' tab selected. The 'Managed Identity' section explains that policies with 'deployIfNotExists' and 'modify' effect types need the ability to deploy resources and edit tags. It offers the option to 'Create a Managed Identity', which is checked. Under 'Type of Managed Identity', 'System assigned managed identity' is selected. The 'System assigned identity location' is set to '(Asia Pacific) Central India'. The 'Permissions' section shows that the identity will be given the 'Contributor' role. A note states: 'Role assignments (permissions) are created based on the role definitions specified in the policies.' At the bottom, there are buttons for 'Previous', 'Next', and 'Review + create', along with a 'Give feedback' link.

3. Test CostCenter Tag Inheritance: create a storage account

Microsoft ... Search resources, services, and docs ... 2400030143@kluniveri... K L UNIVERSITY (KLUNIVERSITYJN)

Home > Storage center | Blob Storage

Create a storage account

Learn more about Azure storage accounts

Project details

Select the subscription in which to create the new storage account. Choose a new or existing resource group to organize and manage your storage account together with other resources.

Subscription * Azure for Students

Resource group * azure-project-30143
[Create new](#)

Instance details

Storage account name * azcosttest30143

Region * (Asia Pacific) Southeast Asia
[Deploy to an Azure Extended Zone](#)

Primary service * Azure Blob Storage or Azure Data Lake Storage

Performance *

☒ Standard: Recommended for most scenarios (general-purpose v2 account)

☐ Premium: Recommended for scenarios that require low latency.

Redundancy * Locally redundant storage (LRS)

[Previous](#) [Next](#) [Review + create](#) [Give feedback](#)

3.1:Deploy it:

azcosttest30143_1790451282582 | Overview

Deployment

Search

Delete Cancel Redeploy Download Refresh

Your deployment is complete

Deployment name : azcosttest30143_1790451282582
Subscription : Azure for Students
Resource group : azure-project-30143

Start time : 9/27/2026, 1:05:11 AM
Correlation ID : 5e793a3e-3613-4e65-9915-203b1e66b775

Deployment details

Next steps

[Go to resource](#)

Cost management
Get notified to stay within your budget and prevent unexpected charges on your bill.
[Set up cost alerts >](#)

Microsoft Defender for Cloud
Secure your apps and infrastructure
[Go to Microsoft Defender for Cloud >](#)

Free Microsoft tutorials
Start learning today >

Work with an expert
Azure experts are service provider partners who can help manage your assets on Azure and be your first line of support.
[Find an Azure expert >](#)

29°C Mostly clear

Search

ENG IN 01:05 27-09-2026

3.2: verify whether the CostCenter policy automatically added the tag.

Microsoft Azure

Search resources, services, and docs (G+/)

2400030143@kluniversi...
K L UNIVERSITY (KLUNIVERSITY.IN)

Home > azcosttest30143_1790451282582 | Overview > azcosttest30143

azcosttest30143 | Tags

Storage account

Search

Delete all

Feedback

Overview

Activity log

Tags

Diagnose and solve problems

Access Control (IAM)

Data migration

Events

Storage browser

Storage Mover

Partner solutions

Resource visualizer

Data storage

Security + networking

Data management

Settings

Monitoring

Automation

Help

Tags are name/value pairs that enable you to categorize resources and view consolidated billing by applying the same tag to multiple resources and resource groups. Tag names are case insensitive, but tag values are case sensitive. [Learn more about tags](#)

Do not enter names or values that could make your resources less secure or that contain personal/sensitive information because tag data will be replicated globally.

Name	Value
CostCenter	: CSE001
	:

azcosttest30143 (Storage account)

CostCenter : CSE001

No changes

Apply

Discard changes

Add or remove favorites by pressing Ctrl+Shift+F

4. Verify Policy Compliance:

Policy | Compliance

Search

Overview
Compliance
Remediation
Events
Authoring
Definitions
Assignments
Machine Configuration
Exemptions
Enrollments (preview)

Overall resource compliance 0%
0 out of 1

Resources by compliance state
0 - Compliant
1 - Non-compliant

Non-compliant initiatives
0 out of 0

Non-compliant policies
1 out of 3

Edit comments Export to CSV

Name	Scope	Compliance	Resources	Non-compliant	Non-compliant
CostCenter Governance	Azure for Stud...	Non-compl	0% (0 out of 1)	1	1
Region Governance	Azure for Stud...	Compliant	100% (1 out of 1)	0	0
Allowed resource id	Azure for Stud...	Compliant	100% (0 out of 0)	0	0

5. Create the remediation task:

Home > Policy | Compliance > CostCenter Governance - Inherit Tag

New remediation task

Please note, automatic tag remediation is not supported for this policy. To remediate non-compliant resources, you must manually trigger a remediation task. If the tag exists with a different value it will not be changed.

Applicable resources to remediate

Scope: Azure for Students/azure-project-30143

Remediation Option

☐ Select location(s) for this remediation to take place

Locations

All selected

☐ Re-evaluate resource compliance before remediating

☒ Select specific resources to remediate

Remediation settings

Failure Threshold (percentage) 100

Select up to 100 non-compliant resources from the list below to remediate

Search Location: None selected

Maximum of 250 non-compliant resources can be shown for this policy in the specified scope. Use the filters to narrow down your search.

Name	Resource type	Location	Scope
azpolicytest2026j2	Microsoft.Storage/storageAccounts	Southeast Asia	Azure for Students/azure-project-3014...

Selected 1 associated resource(s) for remediation task creation

Remediate Cancel

Give feedback

5.1: Now verify the remediation

- Wait a few minutes, then:
 - Open Azure Portal → Resource groups.
 - Open:
azure-project-30143
 - Open the storage account:
azpolicytest2026j2
 - Click Tags.

Microsoft Azure Search resources, services, and docs (G+/)

Home > Resource Manager | Resource groups > azure-project-30143 > azpolicytest2026j2

azpolicytest2026j2 | Tags

Storage account

Search Delete all Feedback

- Overview
- Activity log
- Tags**
- Diagnose and solve problems
- Access Control (IAM)
- Data migration
- Events
- Storage browser
- Storage Mover
- Partner solutions
- Resource visualizer
- Data storage
- Security + networking
- Data management
- Settings
- Monitoring
- Automation
- Help

Tags are name/value pairs that enable you to categorize resources and view consolidated billing by applying the same tag to multiple resources and resource groups. Tag names are case insensitive, but tag values are case sensitive. [Learn more about tags](#)

Do not enter names or values that could make your resources less secure or that contain personal/sensitive information because tag data will be replicated globally.

Name	Value
CostCenter	CSE001

azpolicytest2026j2 (Storage account)

CostCenter : CSE001

No changes

6. Demonstrate a Controlled Policy Exemption:

Home > Region Governance - Allowed Locations

Create exemption

Basics Review + create

[Policy exemption is now available! For pricing details, see <https://aka.ms/policypricing>](#)

Policy exemptions are used by Azure Policy to exempt a resource hierarchy or an individual resource from evaluation of initiatives or definitions.

Exemption scope *

Resource selectors [\(Expand\)](#) Using resource selectors, you can further refine this assignment's applicability by targeting specific subsets of resources. [Expand to learn more.](#)

Assignment name

Exemption name *

Exemption category The exemption is granted because the non-compliance state of the resource is temporarily accepted.

Exemption expiration setting ☒ Set an expiration date for the exemption

[Please be aware the policy assignment will take effect again when the policy exemption expires.](#)

Expiration date

Exemption description

[Previous](#) [Next](#) [Review + create](#) [Give feedback](#)

Microsoft Azure

Search resources, services, and docs (G+/)

2400030143@kluniversity...

K L UNIVERSITY (KLUNIVERSITY.ING)

Home

Region Governance - Allowed Locations

Policy Assignment

Edit assignment Delete assignment Duplicate assignment View compliance View definition Create exemption

Remediations can only be created after compliance results are available.

Essentials

Name

: Region Governance - Allowed Locations

Scope

: Azure for Students/azure-project-30143

Definition version

: 1.*

Excluded scopes

: --

Description

: Allows resources only in approved Azure regions.

Definition type

: Policy

Assignment ID

: /subscriptions/5cdc9eed-81ec-4e91-ab1e-773c09a01911...

Policy enforcement

: Default

Assigned by

: --

Parameters (2)

Resource selectors (0)

Overrides (0)

Exemptions (0)

Remediation (0)

Deployed resources

Managed Identity

Search by parameter name

All types

Edit columns

Parameter ID ↕	Parameter name ↕	Parameter value ↕	Policy assignment parameter reference type ↕
listOfAllowedLocations	Allowed locations	["southeastasia","koreacentral"]	User defined parameter
effect	Effect	"Deny"	Default value

Give feedback